

Chandigarh Housing Board vs Jasmer Singh Saini And Others on 9 July, 2009

NATIONAL CONSUMER DISPUTES REDRESSAL COMMISSION NEW DELHI

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CONSUMER DISPUTES REDRESSAL COMMISSION NEW DELHI

REVISION PETITION NO.
3197 OF 2005

(From
the Order dated 16.09.2005 in Appeal No. 85 of 2005 of State Consumer Disputes
Redressal Commission, Chandigarh)

CHANDIGARH HOUSING BOARD PETITIONER

VERSUS

JASMER SINGH SAINI AND OTHERS RESPONDENTS

BEFORE: -

HONBLE
MR. JUSTICE
ASHOK BHAN, PRESIDENT

HONBLE MR. B.K. TAIMNI, MEMBER

FOR THE PETITIONER :
MRS. RACHNA JOSHI ISSAR, ADVOCATE.

FOR RESPONDENT NO.1 : IN-PERSON.

PRONOUNCED ON :
09.07.2009

O R D E R

ASHOK BHAN J., PRESIDENT Chandigarh Housing Board-petitioner herein, which was the Opposite Party No.1 before the District Consumer Disputes Redressal Forum-I, Union Territory, Chandigarh (hereinafter referred to as the District Forum for short) has filed the present Revision Petition.

Briefly stated, the facts of the case are:-

Chandigarh Housing Board-petitioner herein and the Administrator, Union Territory, Chandigarh floated a scheme known as The Chandigarh Allotment of Sites to Co-operative Societies Scheme, 1979. In the said Scheme, the people who were aspiring for residential units in the city were invited to form house building co-operative societies duly registered under the Punjab Co-operative Societies Act, 1961. A few promoters of Co-operative Societies under the aforesaid Scheme floated a house building society known as The Chandigarh Sector 18 Co-operative House Building Society Limited. Respondent no.1/complainant applied for membership and was, accordingly, allotted membership no. 93 on 22.04.1982. He deposited total amount of Rs.36,300/- on account of earnest money as demanded by respondent no.3, from time to time, which was duly transferred to the bank account of the petitioner through the Society. Petitioner and the Administrator, Union Territory of Chandigarh unduly delayed the allotment of land to the Society and demanded additional amount from the Society. Due to change in the family circumstances and job placement, the complainant requested the Society/respondent no. 3 to refund the amount deposited by him, i.e., Rs.36,300/- with interest vide his Application dated 17.07.1997. The President of the Society directed the complainant to make an Application with the petitioner as well. Accordingly, the complainant filed another application on 27.07.1997 with the petitioner and respondent no.2. By its letter dated 13.08.1997, petitioner directed the complainant to submit a demand for refund of the amount through the Society. Consequently, the complainant filed an Application on 18.09.1997 to the Society requesting for the refund of the amount. After several correspondences, he received a letter dated 10.03.2000 from the petitioner through the Society/respondent no. 3 wherein an amount of Rs.32,670/- was refunded to him after deducting 10% of the total earnest money, i.e., Rs.3,630/- which was accepted by the complainant vide its letter dated 07.04.2000 under protest. No interest was given, although the amount paid by the complainant had been deposited in the bank.

Complainant filed a complaint before the District Forum with a prayer that the petitioner be directed to refund the sum of Rs.3,630/- deducted by it while refunding the amount with interest @ 18%. Compensation of Rs.5,000/- was also demanded.

Respondent nos. 2 and 3 did not appear in spite of service of Notice. Only petitioner put in appearance and contested the case. It was stated that the amount had been refunded to the petitioner as per the prevalent instructions issued by the Chandigarh Administration. The District Forum, after taking into consideration, the material on record, allowed the complaint and directed the petitioner to refund the deducted amount of Rs.3,630/- with interest @ 10% p.a. from the date of deduction till realisation. Interest @ 10% p.a. on the amount of Rs.32,670/- from the date of deposit till refund, i.e., 10.03.2000, was also awarded.

Aggrieved against the Order of the District Forum, petitioner filed an Appeal before the State Consumer Disputes Redressal Commission, Chandigarh (hereinafter referred to as the State Commission for short), which has been dismissed by the impugned Order. It was held that the petitioner was not entitled to deduct 10% of the earnest money as per the fresh instructions issued by the Union Territory Administration, Chandigarh on 10.03.2000. That as per instructions dated 10.03.2000, petitioner was also liable to pay interest @ 10% as petitioner was not empowered to deduct 10% of the earnest money.

Counsel for the parties have been heard at length.

Petitioner had deducted 10% of the earnest money deposited by the respondent/complainant under old instructions. Under old instructions, no interest was payable on the refund amount. On 10.03.2000, the Finance Secretary, Chandigarh Administration, issued fresh instructions, relevant Clauses of which reads as under:-

2. Simple interest @ 10% per annum on the money already deposited by Societies shall be paid by the Chandigarh Housing Board by adjustment through book transfer. Interest shall be calculated from the date of each deposit till the date the difference in 25% of the earnest money xxxx (sic) revised rates is deposited.

7. Full refund of earnest money will henceforth be made to the Societies/and its members without forfeiting 10% of the 25% earnest money deposited.

Relying upon these instructions, it has been held by the State Commission that the petitioner was entitled to refund the entire earnest money without forfeiting 10% of the earnest money deposited and the complainant was entitled to interest @ 10% on the amount deposited.

Question that arises for consideration is whether the instructions dated 10.03.2000 issued by the Union Territory Administration, Chandigarh would be applicable to the case in hand or whether the case would be governed by the earlier instructions or the prevalent practice of the Union Territory Administration, Chandigarh at the relevant time? The complainants/respondents case was processed under the old instructions by which the Housing Board could deduct 10% of the earnest money deposited, in case the amount was to be refunded at the request of the claimant and no interest was payable on the same. The case of the respondent/complainant was processed under the old instructions which is clear from letter dated 10.03.2000 vide which cheque no. 231840 dated 25.02.2000 for a sum of Rs.32,670/- was sent to the respondent/complainant towards the refund of the earnest money deposited by him. The same reads as under:-

Please refer to your letter dated 29.9.1999 on the subject noted above. Find enclosed herewith cheque No. 231840 dated 25.2.2000 for Rs.32,670/- (Rupees Thirty Two Thousand Six Hundred and Seventy only) drawn on Chandigarh State Co-op. Bank Ltd., Sector 22-B, Chandigarh in your favour. This amount represent the refund of E.M. of following members after deducting 10% of 25% amount. The name of this member from the record available with the Board has been deleted.

Sl.No. Name of Amount Amt. Amt.

Member deposited forfeited to be With the by the refunded Board Board equal to 10% of 25%

1. Sh. J.S. Saini 36,300/- 3,630/- 32,670/-.

This letter clearly shows that the decision to refund the amount had been taken much prior to the issuance of the instructions. It further shows that the cheque had been prepared on 25.02.2000. Simply, because the cheque was forwarded to the complainant on 10.03.2000, would not mean that the instructions dated 10.03.2000 would be applicable. These instructions directed the petitioner to:-

take further action on all the pending cases in the light of above decisions which shows that the instructions were prospective in nature and were not clarificatory or retrospective. The instructions were to apply on pending cases but the same were not to be applied to the cases where the decision had already been taken. Complainant had applied for refund of the money in the year 1997, much prior to the issuance of the instructions dated 10.03.2000. His case had been processed earlier to the issuance of the instructions dated 10.03.2000. His case, under the circumstances, had to be governed under old instructions.

The State Commission clearly erred in coming to the conclusion that the instructions issued on 10.03.2000 would be applicable as the amount was refunded to the respondent/complainant vide letter dated 10.03.2000. In our opinion, the instructions dated 10.03.2000 could not be applied to the cases in which the decision of the refund had already been taken. It was to be applied to the cases wherein the decision to refund the amount has yet not been taken.

Accordingly, while setting aside the Order passed by the Fora below, we hold that the instructions of 10.03.2000 are not applicable to the case of the complainant. But, in equity, we feel that the petitioner was not justified in the delay caused in processing of the refund of the deposited amount for nearly 2 years. Accordingly, we direct the petitioner to pay interest @ 12% p.a. on the refunded amount of Rs.32,670/- with effect from the date the complainant applied for refund, i.e., 17.07.1997 upto the date of dispatch of cheque, i.e., 10.03.2000 for delayed refund and payment. Dismissed. No costs.

(ASHOK BHAN J.) PRESIDENT .

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(B.K. TAIMNI) MEMBER REVISION PETITION NO.

3197 OF 2005 (From the Order dated 16.09.2005 in Appeal No. 85 of 2005 of State Consumer Disputes Redressal Commission, Chandigarh) CHANDIGARH HOUSING BOARD PETITIONER VERSUS JASMER SINGH SAINI AND OTHERS RESPONDENTS Draft Order in the above matter is sent herewith for your kind perusal. If approved, the same may be listed for pronouncement.

(ASHOK BHAN J.) President 08.07.2009 Honble Mr. B.K. Taimni, Member